



Equity Valuation Report ASC 820 Level 3

Waystar Holdings

Pre-IPO Equity Waterfall

Option Pricing Model · March 31, 2024

Purpose and Company Overview

Objective

This project applies the Option Pricing Model framework to allocate pre-IPO equity value across Waystar's capitalization table as of March 31, 2024, 68 days before the company's Nasdaq IPO on June 7, 2024. The analysis follows ASC 820 Level 3 fair value conventions and AICPA Practice Aid methodology. The \$21.50 IPO price serves as an external validation anchor.

About the Company



Waystar Holdings Corp. is a US-based healthcare technology company offering cloud-based revenue cycle management software to hospitals, health systems, and physician groups. The company operated under the holding structure Derby TopCo LP at the valuation date, following a 2019 leveraged buyout.

Principal institutional holders were EQT AB (29.2%), CPP Investments (22.3%), and Bain Capital (16.8%), with management holding approximately 4.3% of pre-IPO shares. Waystar raised approximately \$968 million in its June 2024 IPO, issuing 45 million shares at \$21.50 per share.



Methodology and Key Assumptions

Methodology:

Derby TopCo's pre-IPO equity was allocated using the Option Pricing Model, which applies Black-Scholes to treat each holder's claim as a call spread on total equity value. Two breakpoints were identified: zero, and \$2,692M representing aggregate 2019 LBO invested capital for Derby TopCo's institutional LP group.

Value below \$2,692M flows to Tranche 1; the residual above accrues to Tranche 2.

Key inputs:

Total equity value: \$2,818.3M, derived by applying a median EV/Revenue multiple of 6.1x to Waystar's TTM revenue of \$824.7M, less net debt of \$2,218.1M. Comparable company data sourced from Pitchbook.

Risk-free rate: 5.20%, US 3-month Treasury yield as of March 28, 2024 (FRED, DGS3MO).

Time to liquidity: 0.19 years (68 days), March 31 to June 7, 2024.

Volatility: 45%, equal-weighted average one-year historical volatility across five comparable healthcare SaaS peers.

DLOM: 0% for institutional holders with registration rights; 7.0% Chaffe ATM put for management.

Results

The total pre-money equity value of \$2,818.3M was allocated across two tranches: Tranche 1 (\$0 to \$2,692M) received \$2,525.2M and Tranche 2 (above \$2,692M) received \$293.1M, both distributed pro-rata across all LP holders. The model produces a pre-DLOM equity value of \$23.30 per share for all LP holders. After applying the 7.0% Chaffe DLOM to management, their post-DLOM value is \$21.66 per share, against the \$21.50 IPO anchor, a gap of \$0.16 or 0.7%. The slight premium is expected given the model is set 68 days before IPO pricing; the difference reflects normal price discovery between a private valuation date and the public market. A result within 1% of the observed IPO price, with no calibration to that price, supports the reasonableness of the inputs and methodology.